

EUROPE WEEKLY KICKSTART

Deal Momentum Builds, Europe Stays Cautious

Global M&A momentum remains robust. Our [Global Financials Team](#) forecasts c.18% growth in global M&A volumes over the next 12 months. So far the recovery has been skewed towards [mega-deals](#), as evidenced by a stronger rebound in aggregate deal value than in transaction count ([Exhibit 1](#)).

The H2 2026 pipeline is underpinned by structural supply from corporates. Portfolio simplification is accelerating, with divestitures supporting earnings visibility and capital reallocation towards strategic priorities, including AI. Survey data shows a record share of UK CFOs citing asset disposals as a top priority ([Exhibit 3](#)). In parallel, private equity faces increasing pressure to return capital, reinforcing reliance on M&A exits amid a still-fragile IPO backdrop (outside the US). With European IPO activity near historical lows, well-capitalised strategics are well positioned to capture assets at attractive valuations. Key risks include geopolitical uncertainty keeping rates elevated and concerns around [private credit](#), which we view as overstated. European balance sheets remain resilient, with net debt to EBITDA below historical averages across corporates, financials and households.

European M&A remains subdued ([Exhibit 2](#)). The recovery

is lagging global trends, with Europe's share of global M&A declining to less than one-third of total activity, whether as acquirer, target or both.

Activity is increasingly driven by cross-border flows. In Europe, when deals occur, they are predominantly led by foreign buyers ([Exhibit 4](#)), reflecting valuation support and differentiated exposure. International acquirers are targeting European assets to capture discounts and access specific factor profiles, including Value and [HALO](#) segments, relative to the US.

Domestic buyers remain sidelined, reflecting weak local risk appetite. European corporates show limited acquisition appetite, consistent with equity flows where international inflows only offset persistent domestic outflows. This divergence extends to primary markets, with IPO activity still depressed in Europe. [Survey data](#) indicates that the share of CFOs prioritising expansion via acquisitions is near cycle lows, as focus shifts to cost discipline. Beneath the surface, take-private activity has moderated and sponsor activity, while recovering, is largely driven by exits rather than new deployment, as reflected in the Equity Research [Sponsor Activity Barometer](#).

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Discounted SMIDs and identified targets offer an exposure to an M&A upcycle (Exhibit 5). Our [Tactical Research Team](#) has rebalanced the European M&A target basket ([GSTRACQN](#)), comprising stocks with at least a 15% probability of acquisition. The basket targets both cyclical deal acceleration and structural consolidation, and trades at a material discount to the broader market ([Exhibit 6](#)).

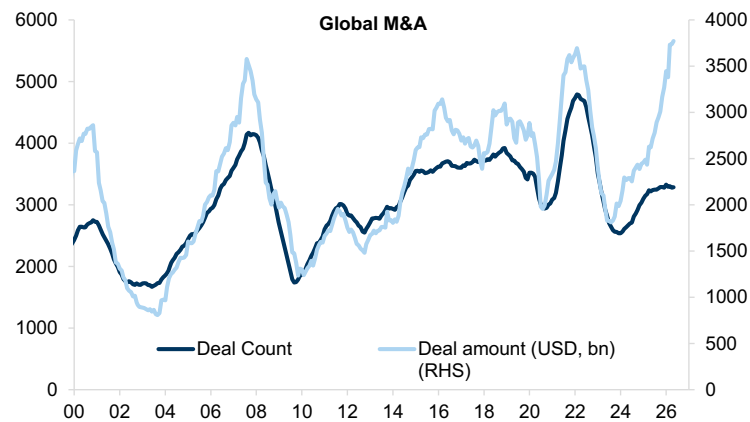
Valuation dispersion reinforces the case for mid-market deal activity. SMIDs screen as potentially the most compelling targets given strategic fit and valuation dislocation, with STOXX Small caps trading on 13.5x P/E and at one of the deepest discounts to large caps on record ([Exhibit 7](#)). A broadening of M&A beyond mega-deals would act as a key catalyst, supported by improving bid intensity and rising strategic interest.

Broader beneficiaries are not pricing a sustained M&A upcycle, highlighting persistent scepticism in Europe. Investment Banking ([GSSBBKIB](#)), Holdings ([GSSBHOLD](#)) and Alternative Asset Managers ([GSSBALTM](#)) have underperformed year-to-date, down 4%, 5% and 15% respectively, signalling muted expectations for fee growth and capital deployment. This aligns with market leadership concentrated in select themes, with [GSSBALTM](#) among the weakest performers in 2026 alongside rate-sensitive sectors such as UK homebuilders, oil-sensitive segments such as airlines, and non-HALO exposures such as software.

Higher index targets. We roll forward and raise our STOXX Europe 600 targets to 640, 645 and 660 over 3, 6 and 12 months, implying 6% price return and 9% total return over the next 12 months ([Exhibit 9](#)), driven by the mechanical roll-forward since our [Outlook](#) and continued resilience in European EPS despite the war in the Middle East. [We recently upgraded our EPS forecasts](#), supported by stronger nominal growth, AI-related capex lifting earnings in Technology, Utilities and Industrials, and higher energy prices boosting the Energy sector. With consensus revisions also turning more positive, year-to-date performance has been fully driven by EPS growth, while multiples modestly derated ([Exhibit 8](#)). However, [similar upgrades](#) across other regions limit relative upside, and we remain [Underweight Europe](#), expecting weaker relative returns driven by soft domestic macro dynamics and more limited exposure to structural AI tailwinds.

Exhibit 1: Mega-deals dominate the M&A recovery

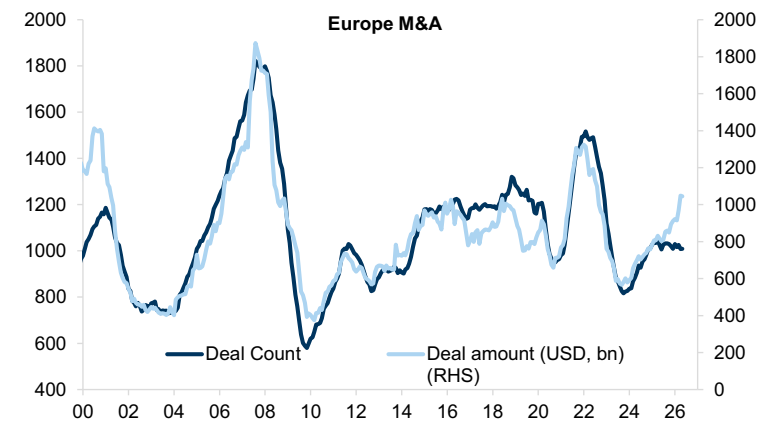
12m rolling sum of M&A deals globally



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 2: European M&A remains subdued

12m rolling sum of M&A deals in Europe

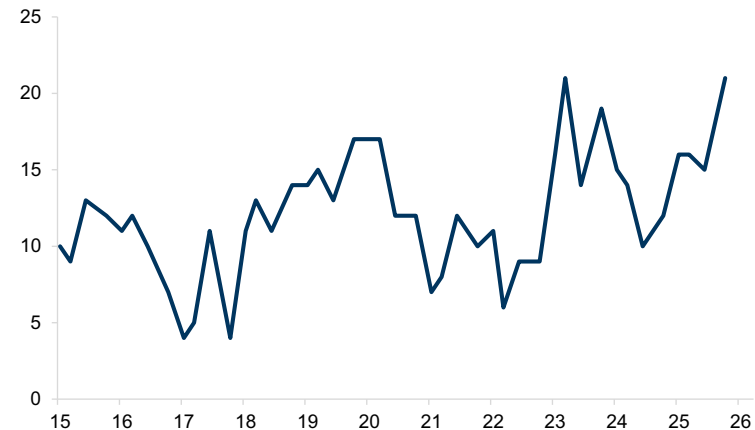


M&A deals involving an European target, and European acquirer, or both

Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 3: Asset disposals rise to a record strategic priority

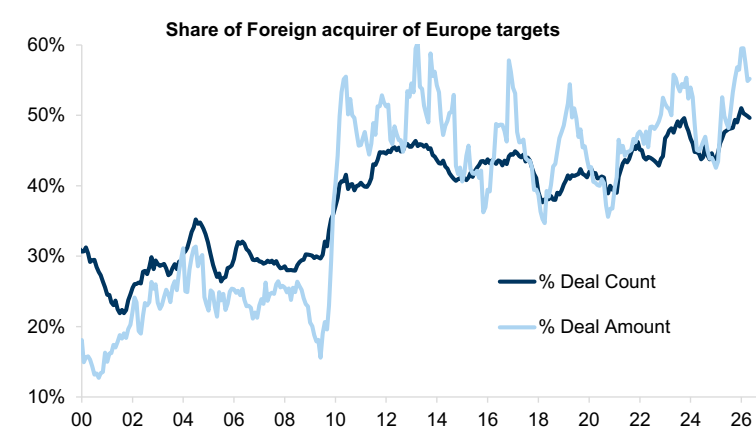
UK CFO Survey: Share of respondents prioritising asset disposals over the next 12 months (%)



Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 4: Activity is increasingly driven by cross-border flows

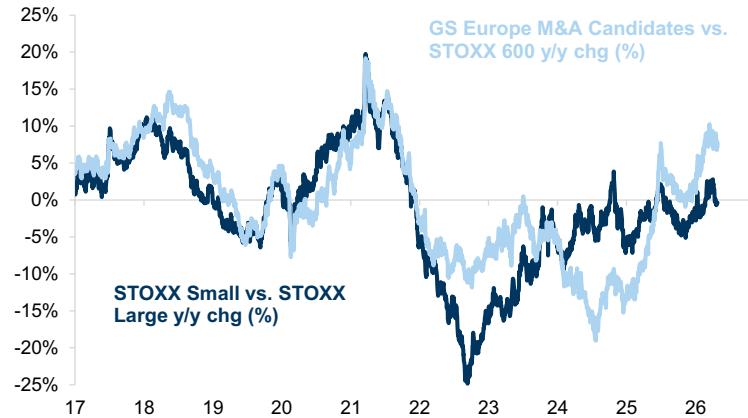
12m rolling sum of M&A deals in Europe



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 5: Small caps tend to be correlated with our European M&A Candidates basket

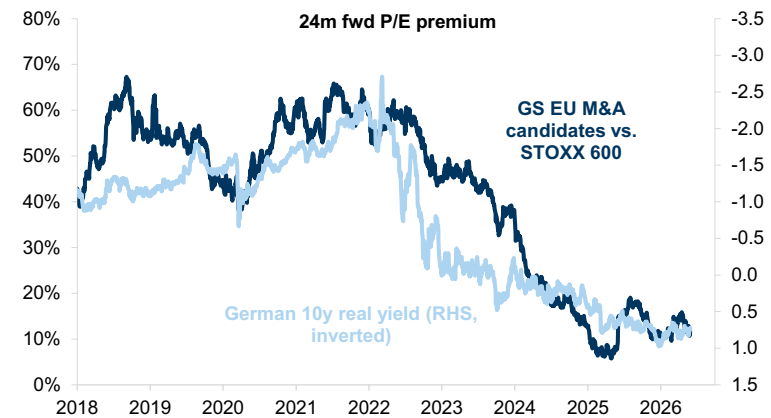
Price performance of GS M&A Candidates Basket (GSTRACQN) vs. STOXX 600 and Small vs. Large caps (y/y chg, %).



Source: FactSet, STOXX, Goldman Sachs Global Investment Research

Exhibit 6: The M&A Candidates basket (GSTRACQN) trades at a heavy discount to the market

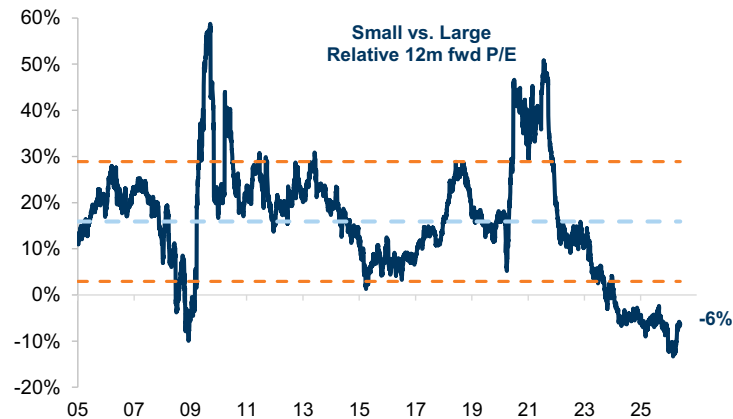
GSTRACQN vs. SXXP



Source: Bloomberg, Goldman Sachs Global Investment Research

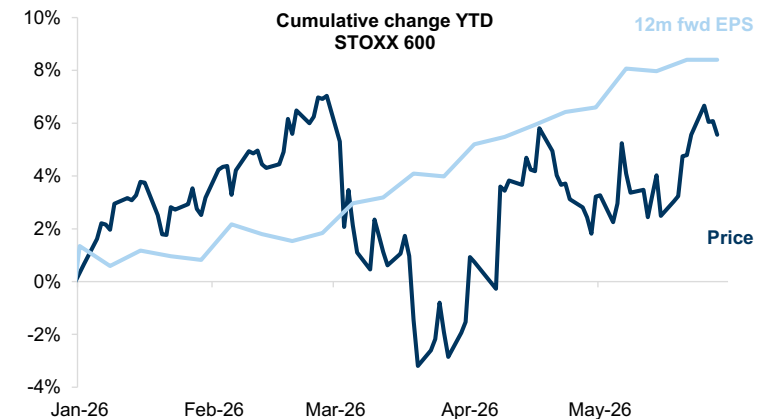
Exhibit 7: STOXX Small are close to the deepest discount historically against STOXX Large

12m fwd P/E from Small caps vs. Large caps (premium/discount)



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

Exhibit 8: Year-to-date performance has been fully driven by EPS growth



Source: Datastream, Goldman Sachs Global Investment Research

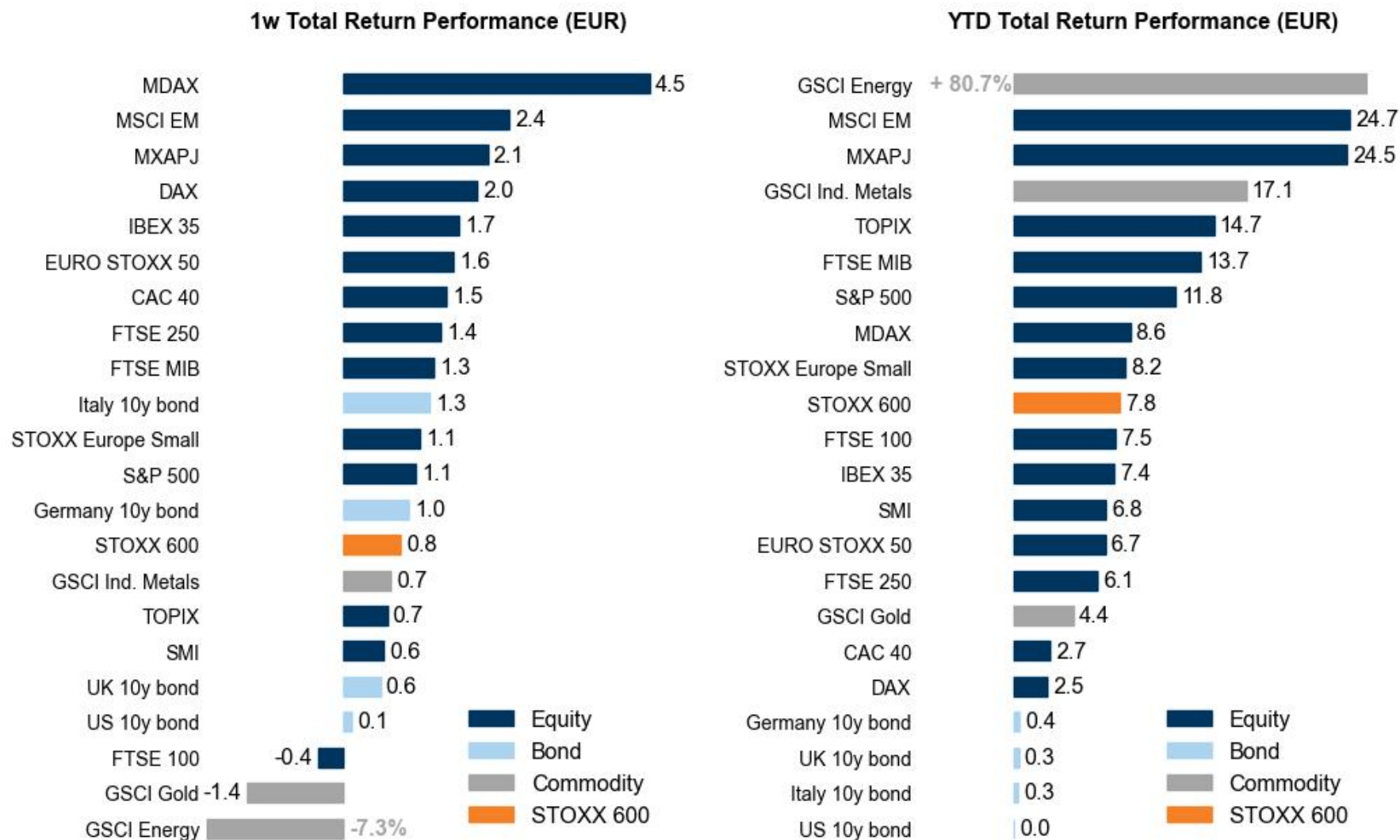
Exhibit 9: We roll forward and raise our price targets

European Indices Forecasts						
	STOXX 600		SX5E		FTSE 100	
Price level	New	Old	New	Old	New	Old
3 months	640	605	6200	5800	10600	10500
6 months	645	615	6300	5900	10800	10600
12 months	660	625	6400	6000	11000	10800
	STOXX 600		SX5E		FTSE 100	
Price Return (%)	New	Old	New	Old	New	Old
3 months	2.4	-3.2	2.4	-4.2	1.7	0.7
6 months	3.2	-1.6	4.0	-2.6	3.6	1.7
12 months	5.6	0.0	5.7	-0.9	5.5	3.6
Total Return 12m (%)	8.9		8.8		9.0	

Source: Goldman Sachs Global Investment Research

Snapshot of Global Performance Across Assets - Total Returns (€)

Exhibit 10: Cross-asset performance



Source: Bloomberg, Datastream, STOXX, Goldman Sachs Global Investment Research

Global Strategy Views: Indices and Asset Classes

Exhibit 11: GS forecasts across assets

28 May 2026	Current	Forecast			Up/Downside to 12m TP (%)
		3m	6m	12m	
Equities					
STOXX Europe 600 (€)	625	640	645	660	5.6
Eurostoxx 50 (€)	6055	6200	6300	6400	5.7
FTSE 100 (£)	10426	10600	10800	11000	5.5
S&P 500 (\$)	7564	7600	8000	8300	9.7
MSCI Asia-Pacific Ex-Japan (\$)	885	900	940	990	11.8
Topix (¥)	3902	3800	4000	4200	7.6
10Y Rate (%)					
US	4.5	4.2	4.1	4.1	-35 bp
Euro Area (Germany)	2.9	2.9	3.0	3.0	7 bp
UK	4.8	4.6	4.4	4.3	-48 bp
Japan	2.7	2.5	2.5	2.4	-25 bp
Currencies					
€/\$	1.16	1.14	1.18	1.20	3.0
£/\$	1.34	1.33	1.34	1.33	-0.8
\$/¥	159	160	158	155	-2.7
Commodities					
Brent Crude Oil (\$/bbl)	93.7	94.0	91.0	86.0	-8.2
NYMEX Nat. Gas (\$/mmBtu)	3.0	3.5	3.5	3.5	15.1
Gold (\$/troy oz)	4471	4805	4990	5445	21.8
LME Copper (\$/mt)	13656	12635	12535	12265	-10.2

Source: Bloomberg, Datastream, STOXX, Goldman Sachs Global Investment Research

Exhibit 12: Valuation metrics across regions

28 May 2026	P/E	EV / EBITDA	FCF Yield	Div Yield	P/B	ROE
	12m fwd (X)	Last 12m (X)	Last 12m (%)	12m fwd (%)	Last 12m (X)	Last 12m (%)
STOXX Europe 600	14.5	9.5	4.5	3.3	2.3	13.8
EuroStoxx 50	15.0	10.9	4.1	3.1	2.4	14.4
FTSE 100	12.4	8.2	5.5	3.5	2.2	15.9
S&P 500	21.1	16.6	3.1	1.4	5.2	21.6
MSCI Asia Pacific ex-Japan	13.1	12.0	3.7	2.2	2.4	14.1
Topix	16.6	12.2	4.5	2.2	1.8	9.6

Source: FactSet, I/B/E/S, STOXX, Datastream, Goldman Sachs Global Investment Research

Earnings Expectations and Revisions

Exhibit 13: Expected earnings growth and revisions by sector (%)

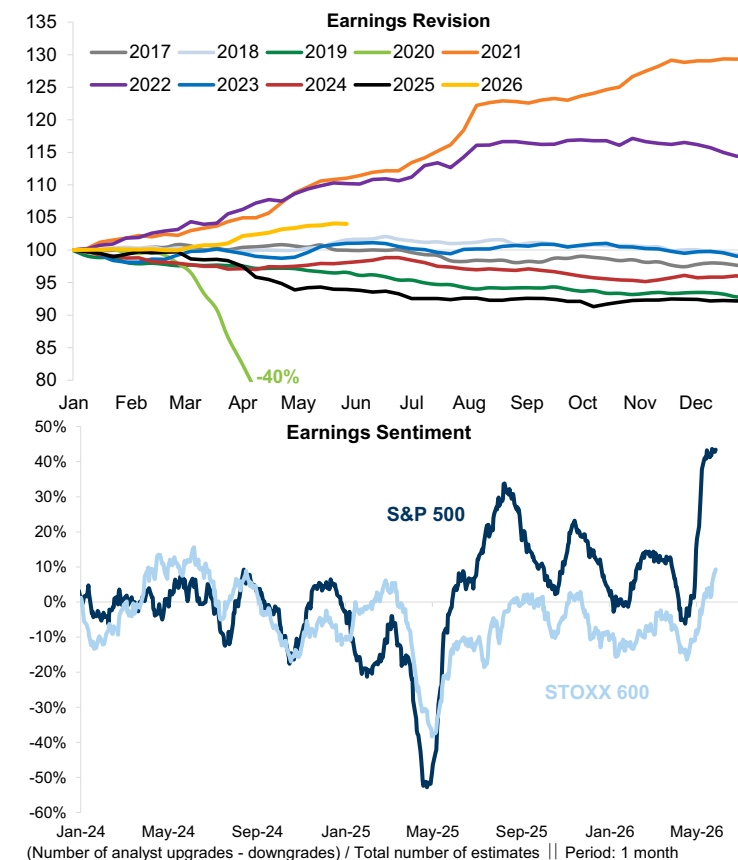
Local currency

Sector	EPS Growth			EPS Revisions (1-month)		EPS Revisions (YTD)	
	2026E	2027E	CAGR 26/27	2026E	2027E	2026E	2027E
Autos and Parts	49.9	25.9	37.4	NM	(1.4)	NM	(12.8)
Basic Resources	50.4	10.3	28.8	2.6	2.1	17.9	16.2
Energy	68.5	(9.0)	23.9	4.0	1.0	54.6	22.8
Technology	20.8	22.3	21.6	0.9	1.2	8.2	11.2
Industrials	15.2	16.0	15.6	(0.4)	0.6	(1.5)	(0.3)
Consumer Prods and Svcs	12.7	15.7	14.2	(0.7)	(1.0)	(6.0)	(5.6)
STOXX 600 ex Fin. & RE	18.4	9.5	13.9	0.9	0.4	4.7	1.9
Construction and Mat.	14.2	13.2	13.7	0.2	0.3	(3.4)	(1.3)
STOXX 600	14.5	9.9	12.2	0.9	0.5	4.2	2.3
Chemicals	18.8	5.0	11.7	1.6	(0.2)	2.2	(4.4)
Banks	10.0	13.1	11.5	1.6	1.2	3.9	5.4
STOXX 600 ex Commod.	9.5	12.1	10.8	0.4	0.4	(0.0)	0.4
Telecoms	9.9	11.1	10.5	1.6	0.9	(0.7)	(1.0)
Retailers	9.3	10.0	9.6	(0.1)	(0.5)	0.5	0.5
Utilities	8.6	7.8	8.2	0.4	0.3	1.6	1.9
Insurance	6.8	7.8	7.3	0.3	0.1	0.8	0.9
Health Care	4.4	9.9	7.1	1.0	0.3	(2.0)	(2.2)
Travel and Leisure	(4.4)	18.8	6.5	(5.5)	(3.7)	(15.8)	(10.6)
Pers Care, D&G Stores	4.1	7.6	5.9	(0.0)	(0.1)	(4.0)	(4.3)
Food, Bev. and Tobacco	2.7	8.3	5.4	0.4	0.4	(1.3)	(1.5)
Media	0.5	9.8	5.1	(0.8)	0.3	(3.7)	(2.5)
Financial Services	1.8	5.5	3.6	(0.7)	0.7	5.2	(3.9)
Real Estate	0.6	4.3	2.4	(1.7)	(1.6)	(2.5)	(2.3)
GS Top-down							
STOXX 600	10	5	7	-	-	-	-

Source: FactSet, STOXX, Goldman Sachs Global Investment Research

Exhibit 14: STOXX Europe 600 EPS revisions & earnings sentiment

In EUR



Source: FactSet, STOXX, Goldman Sachs Global Investment Research

STOXX Europe 600 Supersectors

Exhibit 15: Our recommendations

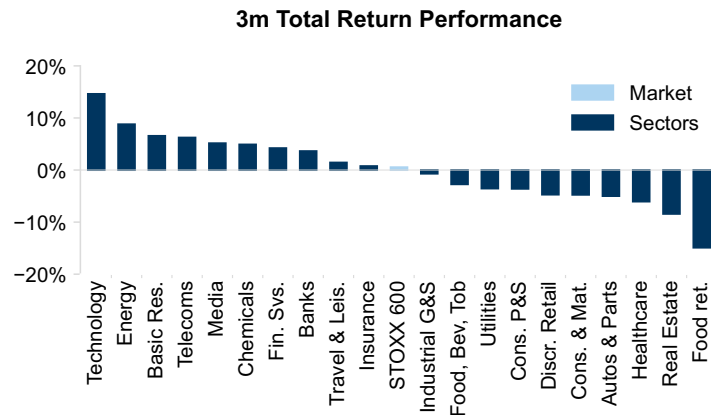
STOXX Europe 600; sub-sectors in light blue

Sector and Supersector Recommendations		
Overweight	Neutral	Underweight
Banks (SX7P)	Healthcare (SXD P)	Autos and Parts (SXAP)
Construction & Materials (SXOP)	Basic Resources (SXPP)	Chemicals (SX4P)
Food, Bev. & Tob (S600FOP)	Energy (S600ENP)	Consum. P&S (S600CPP)
Pers. Care & Grocery (S600PDP)	Financial Svs (SXFP)	Media (SXMP)
Retailers (SXRP)	Industrial G&S (SXNP)	<i>Insurance P&C (GSSBPCIN)</i>
Technology (SX8P)	Insurance (SXIP)	<i>Steel (GSSBSTEL)</i>
Telecoms (SXKP)	Real Estate (SX86P)	
<i>Aerospace (GSSBCIVA)</i>	Travel and Leisure (SXT P)	
<i>Defense (GSSBDEFE)</i>	Utilities (SX6P)	
<i>Renewables (GSSBRNEW)</i>		
Trade Recommendations		
Capital Intensive (GSSTCAPI) vs. Capital Light (GSSTCAPL)		
Fiscal Infrastructure (GSSTFISC)		
High Labour Cost (GSSTHLAB) vs. SXXE ex Financials		

Source: Goldman Sachs Global Investment Research

Exhibit 17: 3-month sector performance

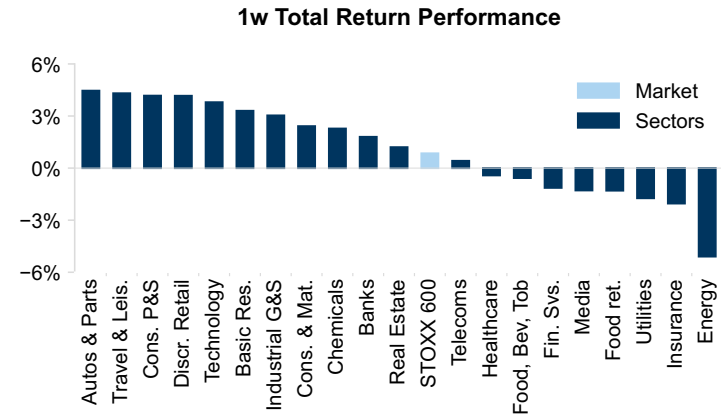
Total Return (€)



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

Exhibit 16: 1-week sector performance

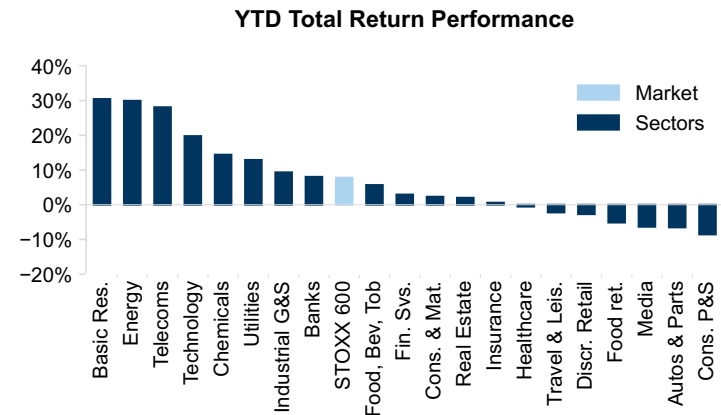
Total Return (€)



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

Exhibit 18: YTD sector performance

Total Return (€)

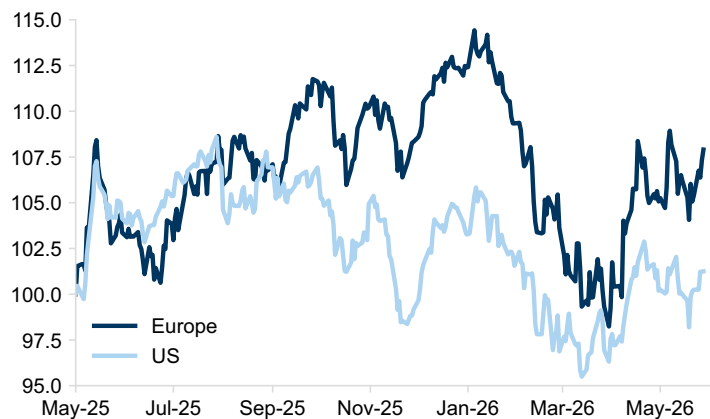


Source: Datastream, STOXX, Goldman Sachs Global Investment Research

Style Performance

Exhibit 19: Cyclical vs. Defensive

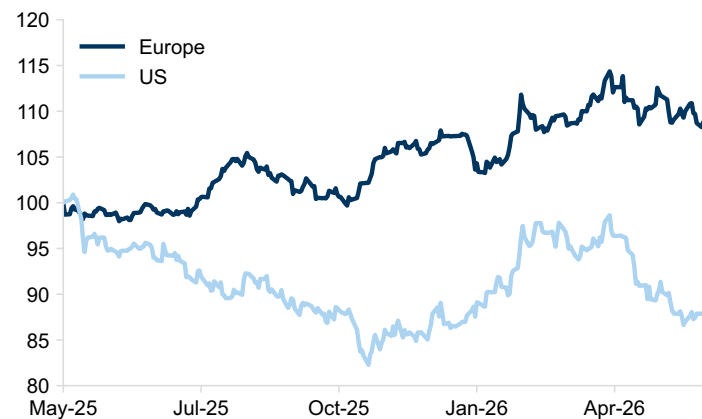
Cyclicals = Equal Weighted: Industrials, Financials and Cons Discretionary. Defensives = Equal Weighted: Utilities, Health Care, Com Services, Cons Staples



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 20: Value vs. Growth price performance

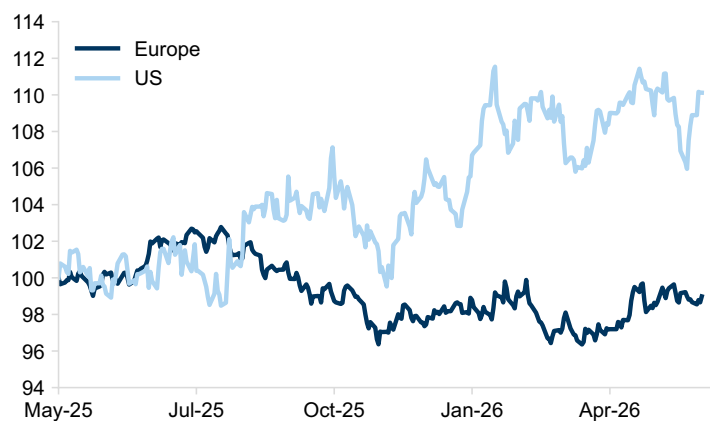
MSCI indices



Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

Exhibit 21: Small-cap vs. Large-cap price performance

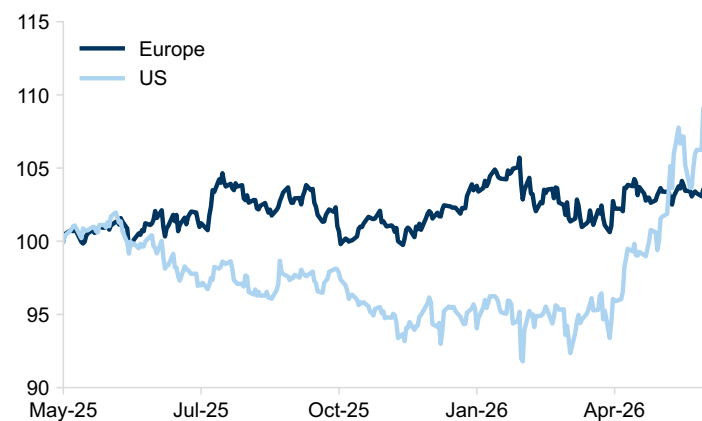
US: Russell 2000 vs. SPX; Europe: STOXX Small vs. STOXX Europe Large



Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

Exhibit 22: Momentum vs. Market

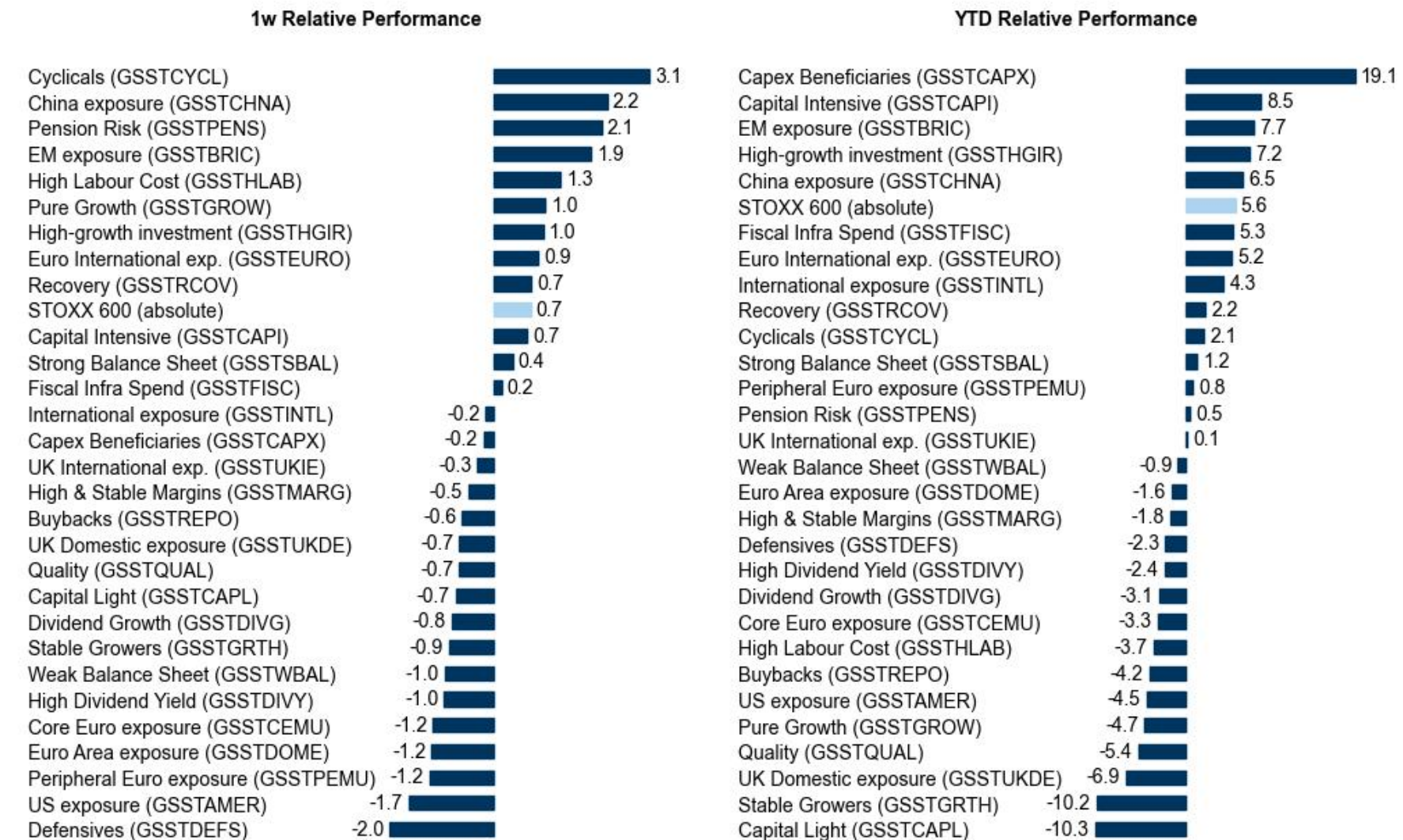
MSCI indices



Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

Thematic Baskets – Price performance

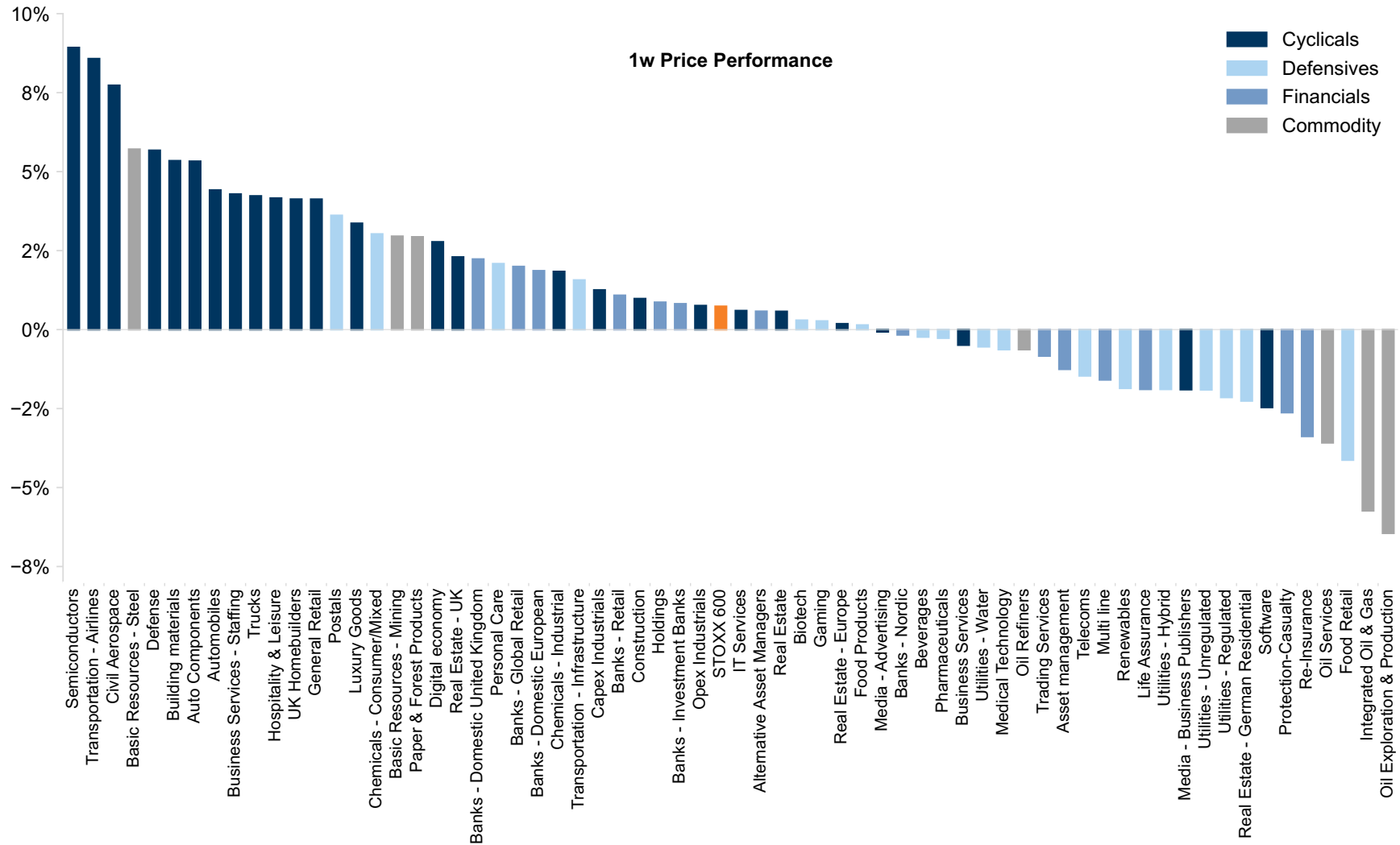
Exhibit 23: Thematic basket relative performance



Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

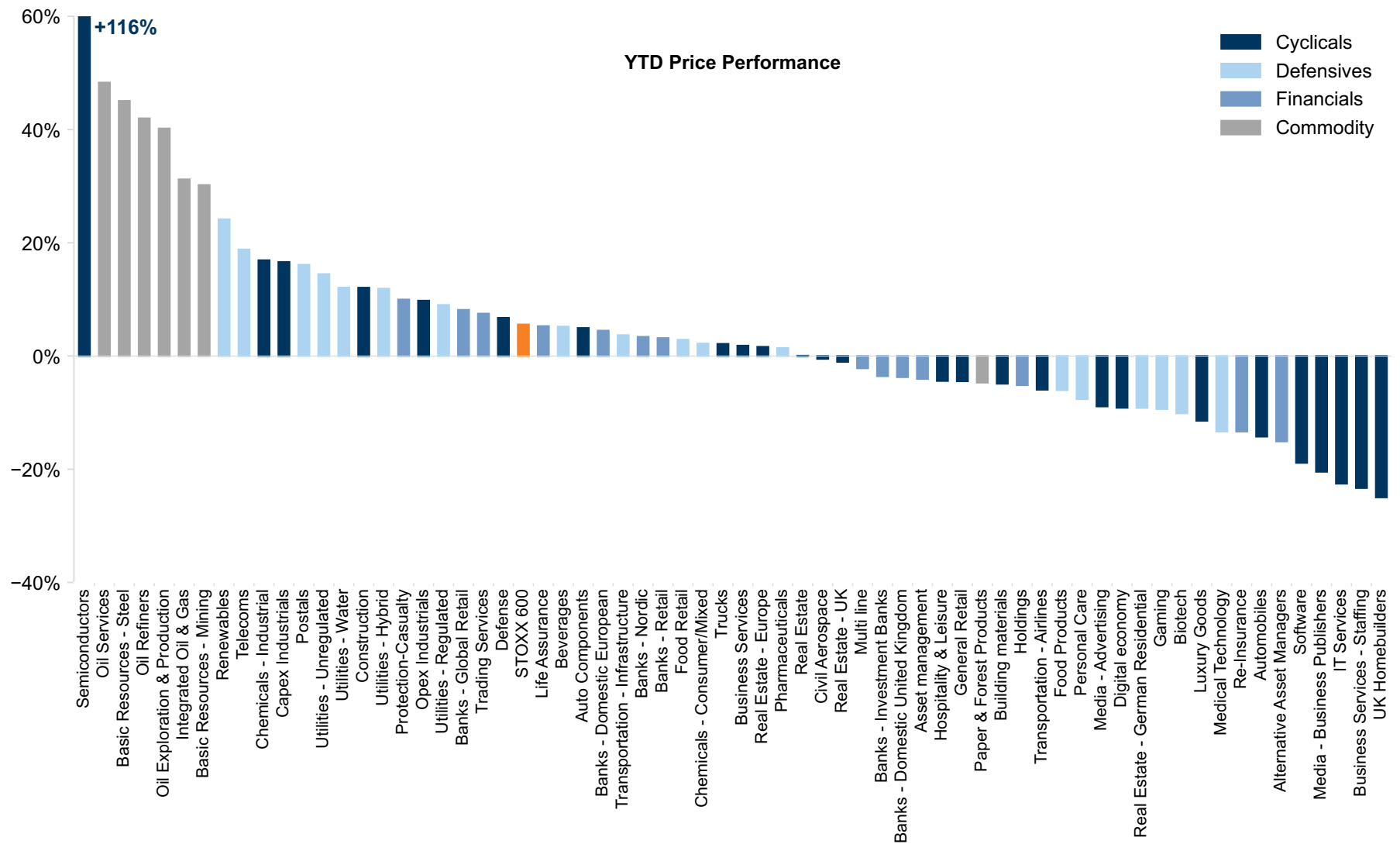
Sub-Sector Performance

Exhibit 24: 1-week sub-sector price performance



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 25: YTD Sub-sector price performance

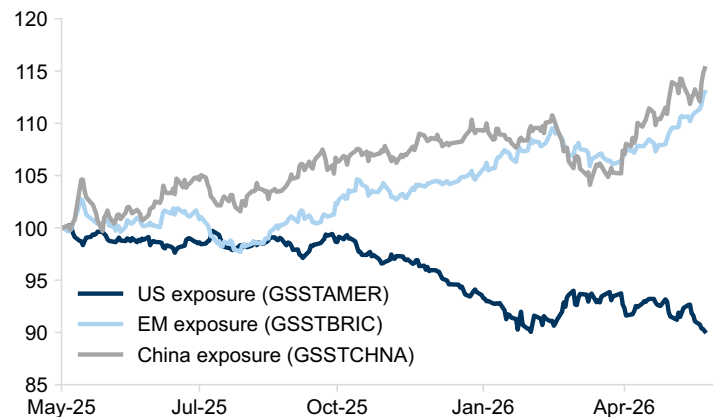


Source: Bloomberg, Goldman Sachs Global Investment Research

Thematic Baskets

Exhibit 26: International Exposure Baskets

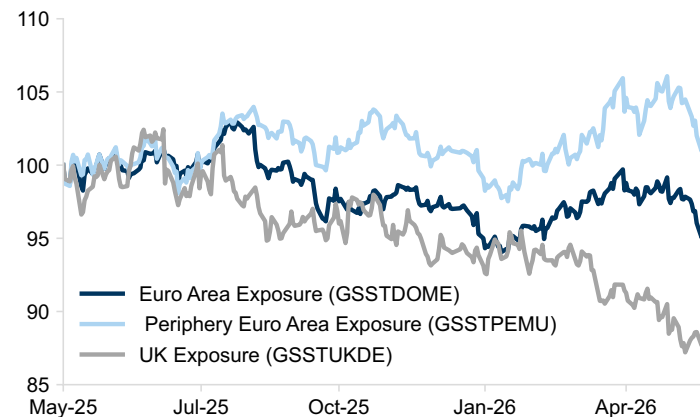
Relative performance vs. SXXP (EUR)



Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

Exhibit 27: Domestic Exposure Baskets

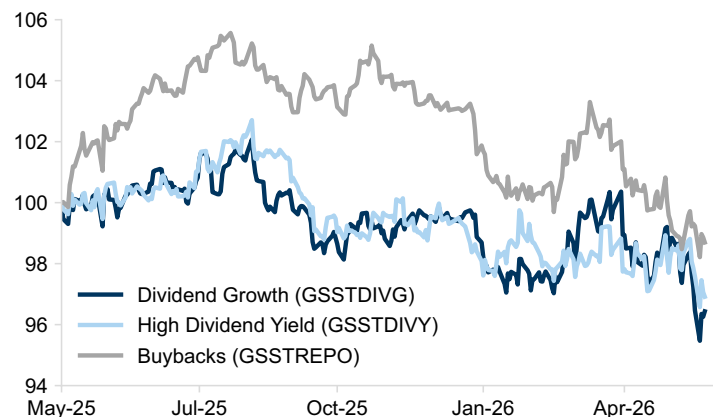
Relative performance vs. SXXP (EUR)



Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

Exhibit 28: Shareholder Return Baskets

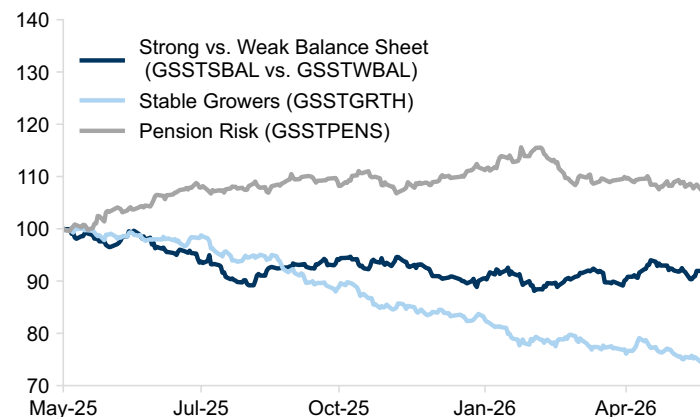
Relative performance vs. SXXP (EUR)



Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

Exhibit 29: Fundamental Thematic Baskets

Relative performance vs. SXXP (EUR)



Source: Bloomberg, STOXX, Goldman Sachs Global Investment Research

Thematic Basket Valuation

Strategy in Style

> For more on our basket methodology, please click here

> Our baskets and constituents can be accessed via Bloomberg using the ticker followed by <Index> (e.g. <GSSTGRTH Index><Go> or MEMB <Go>)

Exhibit 30: GS Thematic basket valuation metrics

Baskets	Bloomberg Ticker	Relative Total Return			EPS Growth		Sales Growth		EPS Momentum				P/E	EV/ EBITDA	Cash Flow Yield	Dividend Yield	Price Book		
		1w	1m	YTD	2025E - 2026E	2026E - 2027E	2025E - 2026E	2026E - 2027E	1m change	YTD change	2026	2027						2026	2027
		(%)	(%)	(%)	(%)	(%)	(%)	(%)	(%)	(%)	(%)	(%)						(%)	(%)
28 May, 2026		(%)	(%)	(%)	(%)	(%)	(%)	(%)	(%)	(%)	(%)	(%)	NTM	NTM	LTM	NTM	LTM		
Macro Baskets																			
Defensives	GSSTDEFS	-2.1	-3.9	-2.1	6.7	7.5	2.7	4.0	0.8	0.2	0.2	-1.0	14.9	10.5	6.0	3.9	1.9		
Cyclicals	GSSTCYCL	3.2	4.0	1.7	19.7	16.8	3.8	3.0	0.9	-0.1	-4.1	-4.9	12.9	20.0	4.3	3.2	1.3		
Capex Beneficiaries	GSSTCAPX	-0.1	2.7	18.6	31.9	7.2	5.4	1.1	4.2	2.2	17.7	7.9	16.3	12.2	4.1	2.8	2.0		
Fiscal Infrastructure Spending	GSSTFISC	0.1	-1.2	5.1	25.0	18.5	2.3	5.7	1.6	0.7	-0.2	-0.2	19.3	11.3	3.6	2.6	2.5		
Fundamental Baskets																			
Recovery	GSSTRCOV	1.0	1.6	2.4	17.2	15.6	2.5	3.0	0.5	0.4	-4.2	-4.6	10.9	6.8	9.0	3.9	1.1		
Pension Risk	GSSTPENS	2.1	2.0	0.2	24.7	28.0	1.9	3.0	-1.9	-1.2	-12.0	-7.0	11.2	6.4	7.2	3.8	1.1		
Pure Growth	GSSTGROW	1.0	1.3	-5.8	22.0	19.9	11.1	10.8	-0.4	-0.4	-3.3	-3.6	21.7	16.0	4.7	1.8	4.9		
Stable Growers	GSSTGRTH	-0.8	-2.8	-10.8	6.8	11.1	6.5	7.0	-0.1	-0.1	-1.9	-2.5	17.9	12.9	5.2	2.4	3.7		
High & Stable Margins	GSSTMARG	-0.5	-0.3	-2.2	10.3	7.8	3.9	4.1	1.1	0.2	3.7	1.5	17.9	13.8	4.5	2.9	3.4		
Quality	GSSTQUAL	-0.6	-1.4	-5.3	8.0	7.9	4.9	3.7	0.9	0.4	3.9	1.9	16.2	12.7	4.7	3.4	3.3		
Strong Balance Sheet	GSSTSBAL	0.3	0.0	0.6	9.8	9.8	5.8	4.6	1.9	1.2	5.2	3.1	20.4	14.9	4.4	2.1	3.1		
Weak Balance Sheet	GSSTWBAL	-0.6	0.9	-1.3	25.4	13.2	0.7	3.7	-0.6	0.1	-4.1	-3.5	11.7	8.4	9.0	3.5	1.6		
EU High Labour Cost	GSSTHLAB	1.4	1.0	-3.6	12.1	18.7	1.5	3.8	0.0	0.0	-6.4	-3.8	13.0	7.3	9.0	3.2	1.4		
Capital Intensive	GSSTCAPI	0.6	1.0	7.9	24.7	7.6	5.4	2.0	1.6	0.7	10.1	4.4	14.7	13.8	4.7	3.2	1.6		
Capital Light	GSSTCAPL	-0.6	-1.7	-10.7	8.1	11.5	2.6	3.9	0.0	-0.2	-2.7	-2.4	15.9	12.1	7.2	2.9	2.8		
Shareholder Return Baskets																			
High Dividend Yield	GSSTDIVY	-0.5	-0.3	-1.8	12.6	7.4	3.8	2.1	0.7	0.1	4.0	0.8	11.3	8.7	7.2	4.9	1.8		
Dividend growth	GSSTDIVG	-0.6	-0.6	-2.4	24.8	5.9	6.2	1.7	0.7	0.3	4.5	0.3	10.5	8.7	8.4	4.3	1.8		
Buybacks	GSSTREPO	-0.5	-1.2	-3.6	21.0	10.7	4.8	0.1	1.1	0.4	1.1	-0.9	11.9	11.3	7.6	3.6	1.4		
High Growth Investment Ratio	GSSTHGIR	1.0	3.4	6.0	13.6	17.2	7.1	7.2	0.6	-0.1	1.0	0.4	19.3	14.0	2.9	2.1	3.0		
International Baskets																			
International Exposure	GSSTINTL	-0.2	0.9	4.0	11.5	7.8	6.5	3.2	1.2	1.0	6.5	3.0	14.5	15.4	5.7	2.9	2.3		
Euro International Exposure	GSSTEURO	0.8	2.1	4.8	13.1	12.8	4.3	5.0	0.9	1.0	-0.5	0.2	14.9	14.9	4.9	2.9	2.2		
UK International Exposure	GSSTUKIE	-0.3	-0.8	-0.6	17.4	8.7	8.3	1.5	0.9	0.3	6.2	2.0	14.6	9.4	6.9	2.9	2.5		
US Exposure	GSSTAMER	-1.5	-3.1	-4.7	9.9	10.7	4.5	4.1	0.4	-0.2	-0.8	-4.0	14.8	10.9	5.6	2.9	2.3		
China Exposure	GSSTCHNA	2.2	4.8	5.9	18.0	19.1	1.5	3.7	0.3	0.0	-1.3	-0.2	17.9	17.3	4.8	2.5	1.6		
EM Exposure	GSSTBRIC	1.8	5.1	7.3	24.8	10.8	4.7	3.0	1.0	0.6	7.1	3.1	16.1	14.0	5.9	2.8	1.8		
Domestic Baskets																			
Domestic Eurozone	GSSTDOME	-0.8	-2.5	-1.0	8.6	8.9	3.7	1.9	0.4	0.4	-0.1	0.0	12.5	10.4	5.7	4.8	1.5		
Core Eurozone	GSSTCEMU	-0.5	-3.0	-4.6	7.6	11.5	2.3	3.7	-0.3	0.0	-2.6	-1.1	12.5	11.0	7.0	4.7	1.3		
Periphery Eurozone	GSSTPEMU	-1.4	-2.6	1.4	10.0	5.2	7.5	-2.9	1.4	0.9	3.6	1.6	12.6	9.6	4.0	5.0	1.8		
UK Domestic Exposure	GSSTUKDE	-0.7	-3.4	-7.3	3.8	7.5	2.3	3.1	-0.8	-0.9	-2.5	-3.7	12.3	8.3	4.1	4.6	1.6		
STOXX Europe 600	SXXP	0.8	3.9	7.8	14.5	9.9	5.8	3.0	0.9	0.5	4.2	2.3	14.5	8.8	4.5	3.3	2.3		

Source: FactSet, STOXX, Goldman Sachs Global Investment Research

Europe Sector Valuation

Exhibit 31: Sector valuation

Sectors	STOXX 600 Wgt	Total Return			EPS Growth		Goldman Sachs EPS Growth		EPS Momentum		Sales Growth		Expd. ROE 2026	P/E Mult. NTM	EV / EBITDA NTM	Cash Flow Yield LTM	Div Yld NTM	Price / Book Value LTM	Net Debt / Equity (%)
		1 wk	1 mo	YTD	2025E- 2026E	2026E- 2027E	2025E- 2026E	2026E- 2027E	One month change		2025E- 2026E	2026E- 2027E							
		(%)	(%)	(%)	(%)	(%)	(%)	(%)	2026	2027	(%)	(%)							
May 28, 2026																			
Automobiles and Parts	1.8	4.5	5.3	(6.5)	49.9	25.9	55.3	29.9	(0.7)	(1.4)	1.0	2.9	4.8	8.2	6.0	6.2	4.5	0.4	87
Banks	13.4	1.8	4.7	8.0	10.0	13.1	12.4	15.0	1.6	1.2	NM	NM	13.9	9.7	NM	NM	5.3	1.4	NM
Basic Resources	3.1	3.3	10.6	30.5	50.4	10.3	46.0	5.2	2.6	2.1	12.1	(0.1)	12.4	14.7	6.5	3.1	3.0	1.9	30
Chemicals	2.1	2.3	4.4	14.4	18.8	5.0	31.9	(1.6)	1.6	(0.2)	4.1	1.8	10.9	19.0	9.3	4.0	3.2	2.1	40
Construction and Materials	3.1	2.4	0.9	2.3	14.2	13.2	7.4	10.3	0.2	0.3	3.8	5.6	14.5	16.9	9.0	5.9	2.8	2.6	53
Consumer Products and Services	5.0	4.2	8.3	(8.5)	12.7	15.7	12.3	15.3	(0.7)	(1.0)	3.8	6.4	14.0	22.6	13.1	3.2	2.3	3.4	43
Energy	6.3	(5.1)	(4.1)	29.9	68.5	(9.0)	67.1	(11.4)	4.0	1.0	16.2	(6.3)	20.3	10.1	4.4	7.6	3.9	2.0	35
Financial Services	4.3	(1.1)	2.2	2.9	1.8	5.5	1.7	5.6	(0.7)	0.7	NM	NM	12.3	12.7	NM	NM	3.0	1.5	NM
Food Beverage and Tobacco	5.1	(0.6)	4.3	5.7	2.7	8.3	2.2	7.7	0.4	0.4	1.6	3.4	17.6	15.1	10.2	5.6	3.8	2.8	80
Health Care	13.2	(0.4)	2.6	(0.5)	4.4	9.9	4.4	8.4	1.0	0.3	3.6	5.8	21.2	15.5	10.4	5.2	2.6	3.4	45
Industrial Goods and Services	15.2	3.0	4.8	9.3	15.2	16.0	12.6	18.5	(0.4)	0.6	5.7	6.8	17.6	21.8	12.0	4.1	2.1	4.3	40
Insurance	5.3	(2.0)	(0.2)	0.6	6.8	7.8	5.1	8.0	0.3	0.1	NM	NM	18.7	11.2	NM	NM	5.4	2.2	NM
Media	0.5	(1.3)	2.9	(6.3)	0.5	9.8	1.0	10.5	(0.8)	0.3	1.7	5.1	16.3	12.8	9.0	7.7	3.6	2.2	14
Personal Care Drug and Grocery Stores	2.1	(1.3)	(2.1)	(5.1)	4.1	7.6	3.4	6.9	(0.0)	(0.1)	2.7	3.1	21.6	13.9	7.9	7.9	3.9	3.1	91
Real Estate	1.1	1.2	0.4	2.0	0.6	4.3	0.8	3.8	(1.7)	(1.6)	NM	NM	5.7	14.7	NM	NM	4.7	0.9	NM
Retail	0.9	4.2	4.6	(2.7)	9.3	10.0	6.8	10.2	(0.1)	(0.5)	4.6	5.1	22.6	17.3	9.9	5.3	3.3	4.1	55
Technology	9.1	3.8	14.4	19.8	20.8	22.3	26.2	24.7	0.9	1.2	11.5	11.6	23.8	25.6	18.9	2.6	1.1	7.1	5
Telecommunications	3.1	0.4	9.7	28.1	9.9	11.1	16.7	16.4	1.6	0.9	3.1	3.8	11.7	17.7	6.6	7.3	3.6	2.2	140
Travel and Leisure	0.8	4.3	9.5	(2.2)	(4.4)	18.8	(3.2)	13.5	(5.5)	(3.7)	3.6	4.7	18.1	NM	5.5	7.3	2.8	2.4	93
Utilities	4.4	(1.7)	(3.8)	12.9	8.6	7.8	6.9	8.9	0.4	0.3	2.1	3.7	14.3	15.2	8.5	(2.4)	4.1	2.3	125
Stoxx 600		0.8	3.9	7.8	14.5	9.9	15.1	10.0	0.9	0.5	5.8	3.0	15.1	14.5	8.8	4.5	3.3	2.3	61
Stoxx 600 ex Financials & RE		1.0	4.2	8.6	18.4	9.5	18.7	9.0	0.9	0.4	5.8	3.0	15.9	16.5	8.8	4.5	2.8	2.8	61
Stoxx 600 (median)		0.6	2.8	5.0	7.9	10.9	8.5	11.3	0.3	0.2	4.1	4.9	16.0	14.5	8.9	5.4	3.2	2.3	44
EuroStoxx 50	34.0	1.6	5.0	6.7	15.2	11.9	16.4	12.8	0.9	0.5	4.4	4.6	15.1	15.0	9.9	4.1	3.1	2.4	65
Stoxx Large	82.5	0.9	4.0	7.7	14.6	10.0	15.6	10.0	1.0	0.6	6.6	2.8	15.9	14.5	9.1	4.4	3.3	2.4	62
Stoxx Mid	12.1	0.5	3.1	8.3	16.2	7.8	14.5	8.0	1.0	0.3	4.1	3.3	12.7	14.7	7.9	4.5	3.5	1.9	59
Stoxx Small	4.9	1.1	4.9	8.2	9.9	13.3	9.1	14.2	(0.7)	0.7	3.7	3.8	11.5	13.5	7.2	5.3	3.7	1.7	64

Source: FactSet, STOXX, Goldman Sachs Global Investment Research

European Indices Valuation

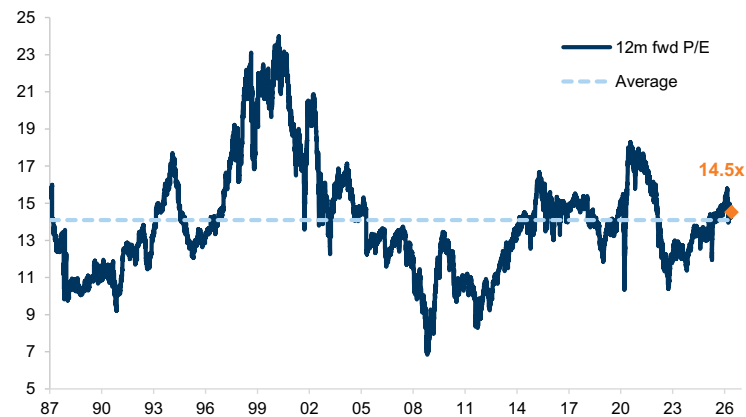
Exhibit 32: European indices valuation

Country Indices		Price	Total Return			EPS Growth		Goldman Sachs EPS Growth		EPS Momentum		Sales Growth		Expd. ROE	P/E Mult.	EV / EBITDA	Cash Flow Yield	Div Yld	Price / Book Value	Net Debt / Equity
						2025E-	2026E-	2025E-	2026E-	One month		2025E-	2026E-							
			1 wk	1 mo	YTD	2026E	2027E	2026E	2027E	change		2026E	2027E							
			(%)	(%)	(%)	(%)	(%)	(%)	(%)	2026	2027	(%)	(%)	2026	NTM	NTM	LTM	NTM	LTM	(%)
May 28, 2026																				
STOXX Europe 600	Europe	625	0.8	3.9	7.8	14.5	9.9	15.1	10.0	0.9	0.5	5.8	3.0	15.1	14.5	8.8	4.5	3.3	2.3	61
EuroStoxx 50	Euro Area	6055	1.6	5.0	6.7	15.2	11.9	16.4	12.8	0.9	0.5	4.4	4.6	15.1	15.0	9.9	4.1	3.1	2.4	65
FTSE 100	UK	10426	(0.1)	1.4	6.7	19.6	7.2	19.3	7.3	0.5	0.4	10.6	(1.0)	14.5	12.4	7.5	5.5	3.5	2.2	68
FTSE 250	UK	23325	1.7	4.5	5.4	13.4	12.4	14.1	12.5	(2.0)	(1.1)	4.4	3.0	9.8	12.1	5.7	7.6	4.4	1.3	61
DAX 40	Germany	25092	2.0	4.5	2.5	13.4	15.5	13.3	18.0	0.3	0.3	3.0	5.2	10.1	14.6	7.8	5.1	3.0	1.6	78
MDAX 50	Germany	33240	4.5	10.6	8.6	37.3	32.0	27.2	29.3	(5.3)	0.1	4.9	5.5	7.3	16.2	7.0	2.9	2.3	1.6	45
CAC 40	France	8189	1.5	2.8	2.7	19.7	10.2	21.6	9.8	0.6	0.0	4.7	4.4	14.5	14.3	9.0	3.6	3.3	2.2	46
SMI 20	Switzerland	13505	0.5	3.0	4.8	7.5	10.7	5.4	10.3	0.4	0.0	2.5	4.8	22.7	17.4	12.6	4.7	3.1	4.2	58
MIB 40	Italy	49825	1.3	5.3	13.7	13.0	11.6	17.9	12.8	1.2	0.7	6.2	3.2	14.7	12.2	7.0	1.7	4.9	1.9	80
IBEX 35	Spain	18279	1.7	3.3	7.4	12.3	12.2	23.6	14.8	1.8	1.4	6.8	2.1	14.8	12.9	8.7	2.5	3.9	2.1	85
AEX 25	Netherlands	1037	0.4	4.4	10.7	16.9	17.1	16.7	19.3	0.6	0.8	11.7	(0.3)	11.3	19.3	9.1	5.3	2.1	2.5	32
OMX Stockholm 30	Sweden	3124	0.3	2.7	10.7	4.0	3.7	6.3	1.9	(0.7)	(0.2)	3.8	6.4	14.9	16.0	11.2	4.0	2.9	2.4	40
OMX Copenhagen 20	Denmark	1538	0.2	4.2	(2.1)	(5.5)	5.3	10.5	(1.9)	2.2	0.1	2.9	3.1	12.9	16.3	7.8	3.8	2.9	2.2	24
OBX Oslo 25	Norway	1960	(2.1)	1.3	22.7	50.9	(6.4)	55.6	(7.1)	4.5	1.2	13.3	(6.8)	15.6	11.8	3.6	4.1	5.1	2.2	47

Source: FactSet, STOXX, Goldman Sachs Global Investment Research

Long-Term Valuation – Europe

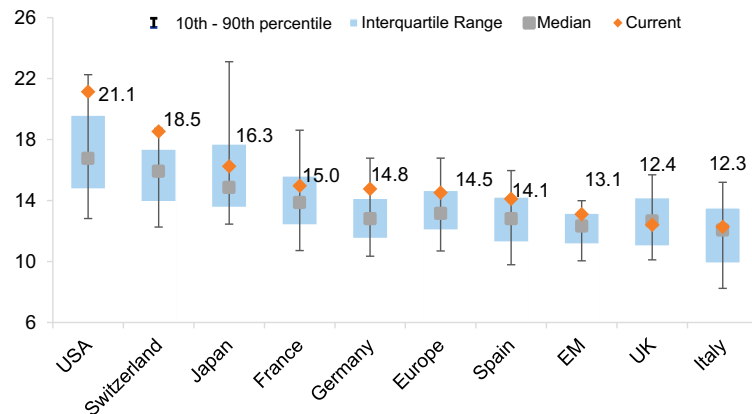
Exhibit 33: STOXX Europe 600 12m fwd P/E



Source: Datastream, I/B/E/S, STOXX, Goldman Sachs Global Investment Research

Exhibit 35: Global valuation range

12m fwd P/E multiple. Data since 2000



Source: Datastream, Worldscope, Goldman Sachs Global Investment Research

Exhibit 34: European valuation levels and historical percentiles

Europe STOXX 600. Percentile since 2000

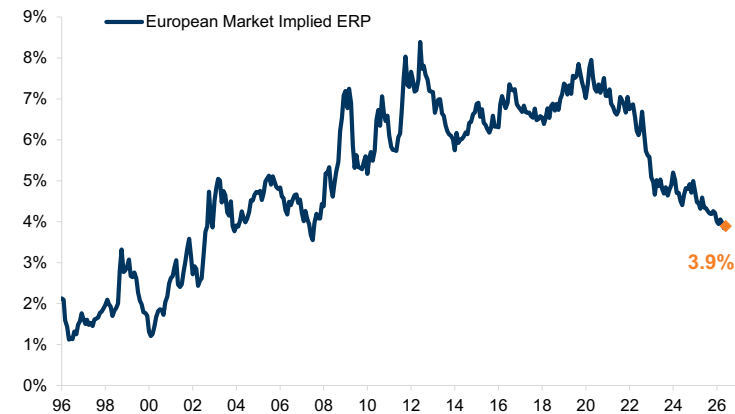
	Metrics	Current Level	Historical Percentile*	Median
Equity (\$XXP)	NTM EV / Sales	2.0	93%	86%
	NTM EV / EBITDA	8.8	86%	
	NTM Price / Book	2.2	91%	
	NTM P/E	14.5	71%	
	NTM Free cash flow yield	5.0	87%	
	Cyclically Adjusted P/E	19.3	76%	
	ERP (%)	3.9	76%	
Rates	Germany 10-y Bond Yield	2.9%	42%	56%
	UK 10-y Bond Yield	4.8%	16%	
Credit	High Yield YTM	5.8%	62%	
	Investment Grade YTM	3.5%	49%	
	High Yield spread	272bp	65%	
	Investment Grade spread	91bp	80%	

*High percentile = High valuation

Source: Datastream, FactSet, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 36: Market implied ERP

Pan-Europe

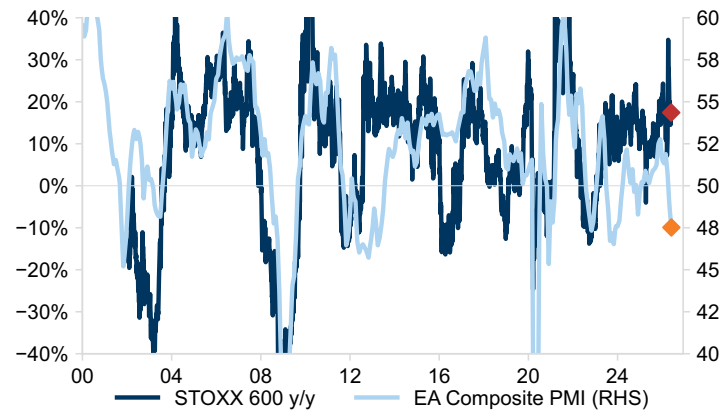


Source: Goldman Sachs Global Investment Research

Style Performance

Exhibit 37: Europe STOXX 600 and Europe Composite PMI

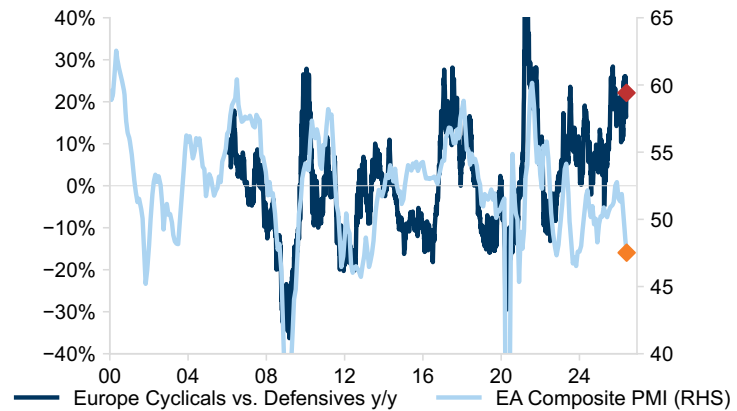
Europe STOXX 600 (Y/Y % Chg) and Europe Composite PMI (RHS)



Source: Bloomberg, Datastream, STOXX, Goldman Sachs Global Investment Research

Exhibit 38: Cyclical vs. Defensives and Europe Composite PMI

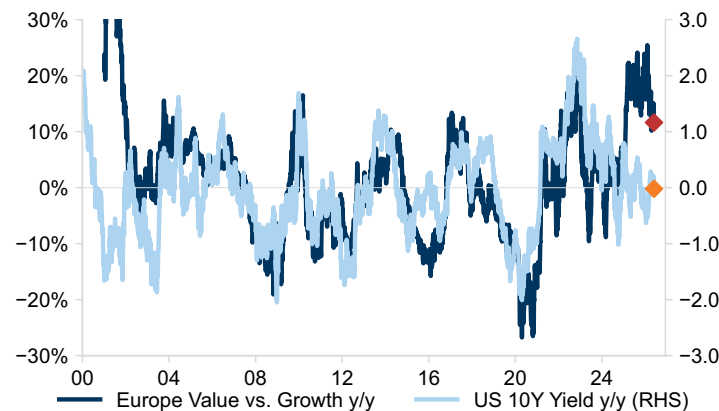
Europe Cyclical vs. Defensives (Y/Y % Chg) and Europe Composite PMI (RHS)



Source: Bloomberg, Datastream, Goldman Sachs Global Investment Research

Exhibit 39: MSCI Europe Value vs. Growth and US 10y Bond Yield

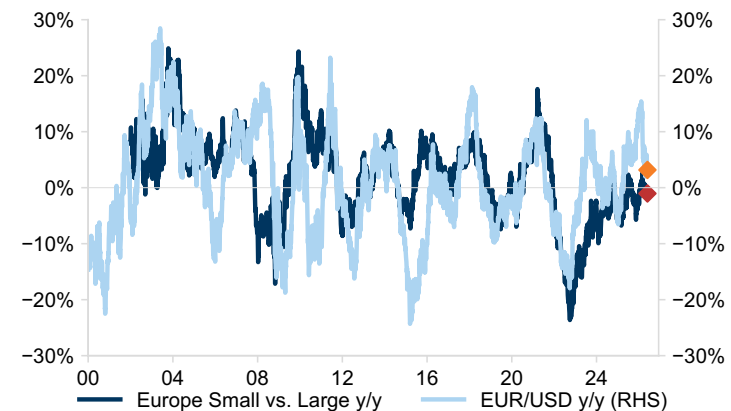
MSCI Europe Value vs. Growth (Y/Y % Chg) and US 10y Bond Yield (Y/Y % Chg, RHS)



Source: Bloomberg, Datastream, Goldman Sachs Global Investment Research

Exhibit 40: Europe STOXX Small vs. Large and EUR/USD

Europe STOXX Small vs. Large (Y/Y % Chg) and EUR/USD (Y/Y % Chg, RHS)

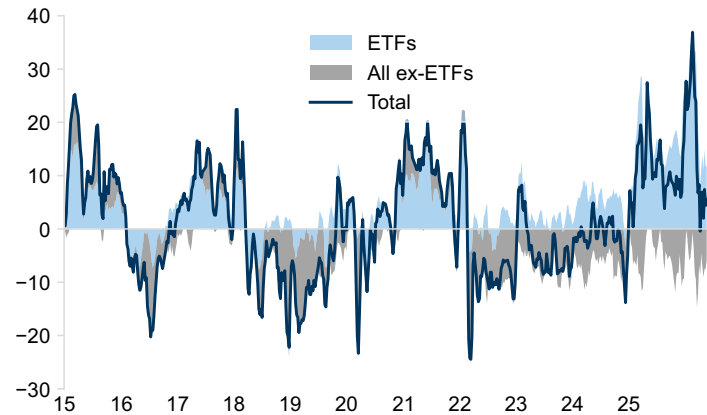


Source: Bloomberg, Datastream, STOXX, Goldman Sachs Global Investment Research

Flows from Global Investors into European Funds

Exhibit 41: 1-month rolling flows from Global investors into European equities

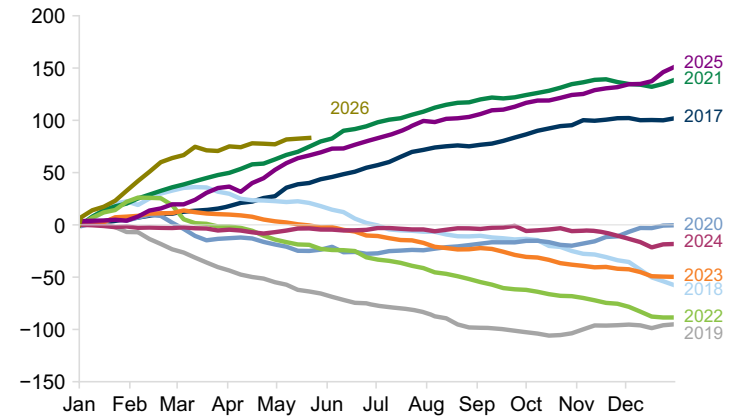
Weekly fund flows (EPFR Country Flows Database)



Source: EPFR, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 42: Calendarised flows from Global investors into European equities

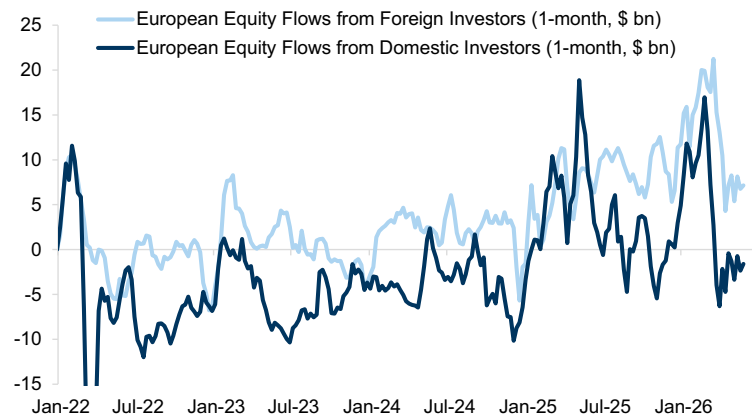
Weekly fund flows (EPFR Country Flows Database)



Source: EPFR, Haver Analytics, Goldman Sachs Global Investment Research

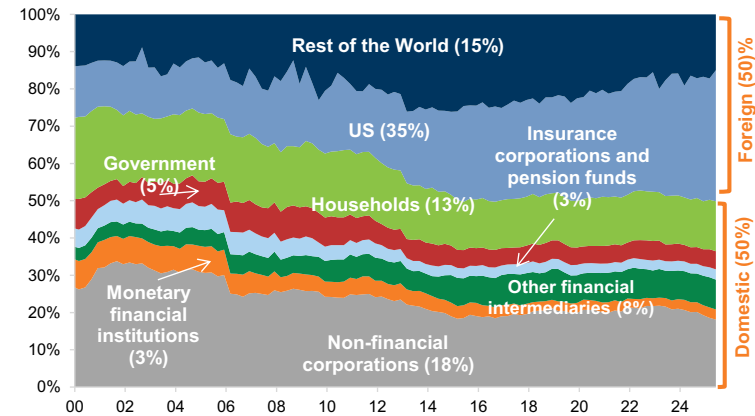
Exhibit 43: Flows into developed Europe equity from Foreign and Domestic Investors

1-month rolling sum of weekly fund flows (EPFR Country Flows Database)



Source: EPFR, Goldman Sachs Global Investment Research

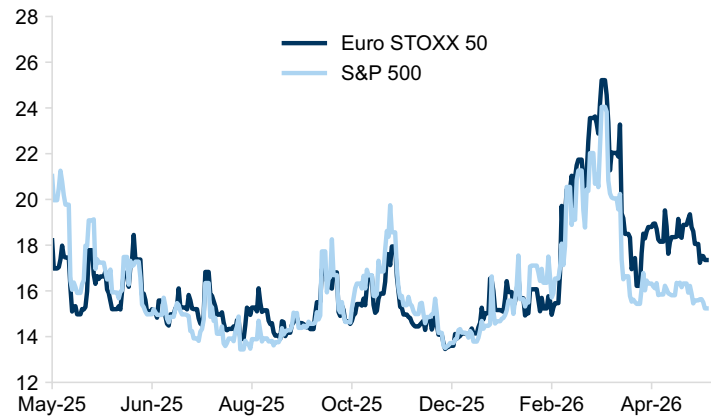
Exhibit 44: Ownership of Euro area equities



Source: ECB, US Treasury, IMF, Haver Analytics, Goldman Sachs Global Investment Research

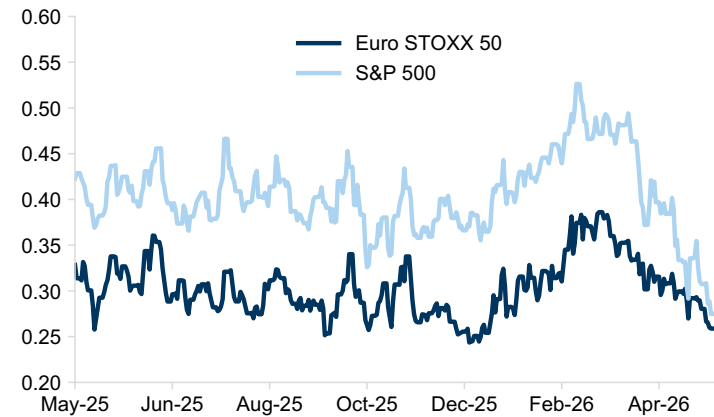
Volatility, Skew, Dispersion and Correlations

Exhibit 45: Implied volatility (3-month ATM)



Source: STOXX, Goldman Sachs Global Investment Research

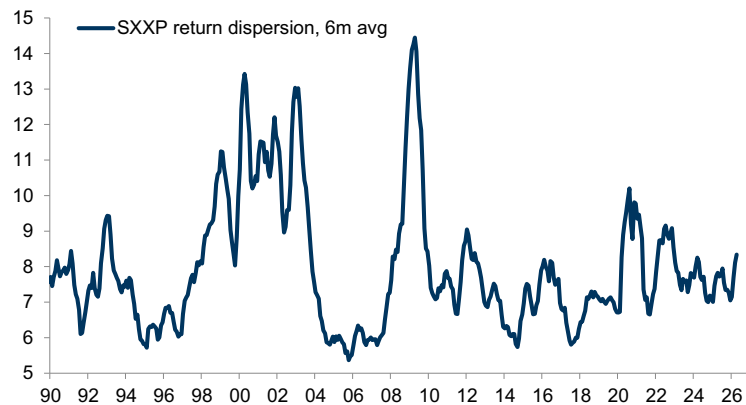
Exhibit 46: Normalised skew (3-month, 25 delta)



Source: STOXX, Goldman Sachs Global Investment Research

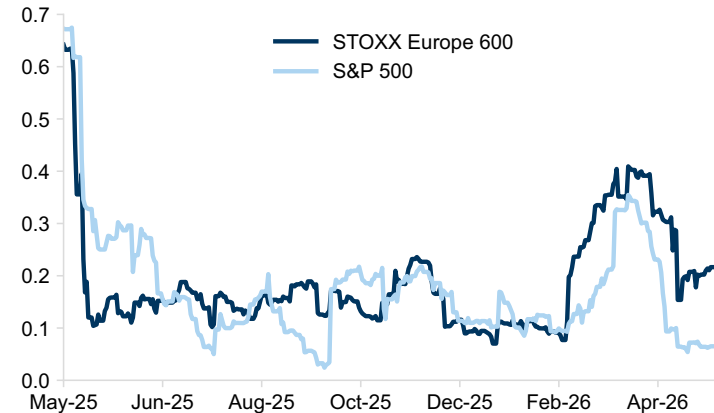
Exhibit 47: STOXX Europe 600 return dispersion

6-month average of monthly return dispersion



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

Exhibit 48: 1-month average pairwise correlation



Source: STOXX, Goldman Sachs Global Investment Research

Europe Indices Sales Exposure

Exhibit 49: Sales exposure across indices

Index	Region	Domestic	Europe	North America	Asia - Pacific	Emerging Markets	Others
STOXX Europe 600	Europe	-	42%	24%	19%	15%	0%
EuroStoxx 50	Euro Area	-	39%	21%	22%	18%	0%
FTSE 100	UK	24%	14%	28%	23%	11%	0%
FTSE 250	UK	56%	13%	14%	8%	10%	0%
DAX	Germany	20%	25%	25%	16%	14%	0%
MDAX	Germany	32%	24%	17%	14%	14%	0%
CAC	France	16%	24%	25%	19%	16%	0%
SMI	Switzerland	6%	23%	36%	19%	15%	0%
MIB	Italy	51%	23%	8%	6%	12%	0%
IBEX	Spain	32%	24%	12%	5%	27%	0%
AEX	Netherlands	9%	17%	22%	38%	15%	0%
MSCI Nordic countries	Scandinavia	24%	22%	28%	14%	13%	0%

Sector	Europe	North America	Asia - Pacific	Emerging Markets	Others
STOXX Europe 600	42%	24%	19%	15%	0%
Auto & Parts	40%	25%	19%	14%	1%
Banks	68%	6%	10%	17%	0%
Basic Resources	24%	14%	47%	15%	0%
Chemicals	31%	28%	21%	20%	0%
Construction & Mat.	48%	27%	10%	16%	0%
Financial Services	54%	26%	9%	8%	2%
Food, Bev. & Tobacco	28%	30%	17%	26%	0%
Health Care	24%	45%	18%	13%	0%
Industrial Gds & Svs	36%	28%	19%	16%	0%
Insurance	57%	19%	13%	11%	0%
Media	31%	48%	12%	9%	0%
Energy	44%	18%	17%	21%	0%
Pers. Care, Drug & Groc.	40%	22%	19%	19%	0%
Real Estate	95%	2%	0%	3%	0%
Retail	69%	10%	8%	13%	0%
Technology	20%	22%	48%	10%	0%
Telecommunications	59%	25%	5%	11%	0%
Travel & Leisure	62%	19%	8%	11%	0%
Utilities	74%	13%	1%	12%	0%

For more details, see our Portfolio Passport

Source: STOXX, Goldman Sachs Global Investment Research

European Indices Sector Weights

Exhibit 50: Sector weights

Sector Breakdown	STOXX 600	Euro Stoxx 50	STOXX Small	STOXX Mid	STOXX Large	FTSE 100	FTSE 250	DAX	MDAX	CAC	SMI	MIB	IBEX	AEX	OBX Oslo	OMX Stockholm	OMX Copenhagen
Automobiles and Parts	1.8	3.7	1.7	2.1	1.8	0.0	0.1	7.1	8.8	2.2	0.0	10.0	0.0	0.0	0.0	0.0	0.0
Banks	13.4	16.2	8.8	5.8	14.8	16.9	2.9	4.4	0.0	8.3	0.0	34.0	42.0	6.7	12.8	11.9	8.4
Basic Resources	3.1	0.0	4.6	3.2	3.0	10.4	2.6	0.0	4.2	1.5	0.0	0.0	6.2	1.9	7.7	2.7	0.0
Chemicals	2.1	3.5	3.8	2.9	1.9	0.2	1.7	4.9	7.7	6.0	1.4	0.0	0.0	1.1	4.3	0.0	0.0
Construction and Materials	3.1	2.2	4.8	4.9	2.8	0.0	4.3	1.3	6.3	6.4	6.8	0.0	5.6	0.0	0.9	4.4	2.2
Consumer Products and Services	5.0	7.0	4.7	4.0	5.2	2.5	2.8	1.6	7.5	16.4	11.3	1.5	0.0	0.0	0.0	0.0	1.5
Energy	6.3	7.5	4.4	5.9	6.5	10.9	2.0	6.9	2.9	8.9	0.0	8.2	3.5	14.9	29.3	0.0	5.1
Financial Services	4.3	1.0	11.5	5.1	3.7	5.2	42.7	2.5	2.8	0.6	9.4	3.7	0.0	1.2	0.0	14.2	0.0
Food, Beverage and Tobacco	5.1	3.0	4.0	5.4	5.1	6.5	3.3	0.0	0.0	2.8	13.2	0.7	0.0	3.1	11.9	0.0	3.8
Health Care	13.2	4.9	5.4	6.2	2.0	14.0	2.2	7.3	6.4	8.1	37.3	1.3	0.9	1.1	0.0	23.9	53.7
Industrial Goods and Services	15.2	15.9	16.2	21.2	14.3	10.8	11.0	25.5	20.4	23.9	8.9	11.8	0.2	3.3	14.4	33.3	21.1
Insurance	5.3	5.9	1.9	6.9	5.2	3.5	0.7	11.7	3.4	3.7	9.5	6.6	0.5	2.6	8.2	0.0	1.6
Media	0.5	0.0	1.9	0.4	0.4	0.7	2.3	0.0	3.2	0.9	0.0	0.0	0.0	1.5	0.0	0.0	0.0
Personal Care, Drug and Grocery Stores	2.1	0.7	1.4	3.1	2.0	6.6	1.2	0.5	0.4	0.5	0.0	0.0	0.0	9.5	0.0	1.4	0.0
Real Estate	1.1	0.0	7.5	4.8	0.2	1.1	7.1	0.9	6.5	0.6	0.0	0.0	1.4	0.3	0.0	0.0	0.0
Retail	0.9	1.4	1.8	1.8	0.7	1.0	3.5	0.3	1.4	0.0	0.0	0.0	7.5	0.0	0.0	0.8	0.0
Technology	9.1	20.5	6.8	2.4	10.2	2.2	3.4	15.5	8.6	3.6	1.0	5.6	3.5	51.8	4.1	1.6	0.0
Telecommunications	3.1	2.2	2.5	2.9	3.1	1.6	1.1	5.4	2.9	1.7	1.2	2.0	5.2	1.1	5.6	5.0	0.0
Travel and Leisure	0.8	0.0	2.2	3.1	0.4	1.4	3.2	0.0	6.4	0.5	0.0	0.0	2.8	0.0	0.8	0.7	0.0
Utilities	4.4	4.4	3.5	8.0	4.0	4.7	2.1	4.2	0.0	3.5	0.0	14.4	20.6	0.0	0.0	0.0	2.5

Source: FactSet, STOXX, Goldman Sachs Global Investment Research

Sector Correlations

Exhibit 51: Europe sectors: cross-asset correlations

5y correlation of w/w relative returns

	Equity			Bonds						FX	Credit		Commodities		Risk	
	Global Cyclicals vs. Defensives	Global Value vs. Growth	EM vs. DM	US nominal yield	US real yield	Breakeven inflation	Yield Curve (US 10y-2y)	German 10y BY	BTP-Bund spread	USDEUR	EUR IG spread	EUR HY spread	Brent	Copper	VIX	Risk Appetite Indicator
Banks	0.51	0.43	0.03	0.38	0.24	0.22	0.09	0.36	-0.23	-0.13	-0.32	-0.28	0.13	0.14	-0.18	0.41
Automobiles and Parts	0.51	0.12	0.03	0.18	0.03	0.23	0.00	0.15	-0.22	-0.19	-0.35	-0.39	0.10	0.12	-0.23	0.36
Insurance	0.32	0.44	-0.03	0.15	-0.01	0.25	-0.04	0.10	-0.28	-0.11	-0.32	-0.38	0.12	0.06	-0.22	0.28
Industrial Goods and Services	0.46	-0.16	-0.20	-0.08	-0.23	0.23	-0.06	-0.13	-0.25	-0.31	-0.38	-0.42	0.09	0.22	-0.27	0.32
Basic Resources	0.39	0.18	0.27	0.10	-0.08	0.30	0.06	0.10	-0.08	-0.16	-0.14	-0.16	0.33	0.61	-0.10	0.23
Energy	0.34	0.43	0.10	0.23	-0.03	0.42	0.05	0.21	-0.16	0.07	-0.11	-0.19	0.48	0.16	-0.18	0.26
Construction and Materials	0.38	0.09	-0.19	-0.12	-0.28	0.24	-0.01	-0.14	-0.29	-0.26	-0.33	-0.40	0.10	0.18	-0.29	0.28
Travel and Leisure	0.44	0.04	-0.12	0.05	-0.13	0.27	-0.03	-0.03	-0.25	-0.23	-0.41	-0.47	0.13	0.21	-0.35	0.42
Financial Services	0.32	-0.19	-0.16	-0.18	-0.30	0.18	-0.17	-0.22	-0.24	-0.33	-0.38	-0.44	0.10	0.21	-0.35	0.34
Consumer Products and Services	0.21	-0.27	0.04	-0.14	-0.15	0.01	-0.02	-0.11	-0.15	-0.24	-0.11	-0.12	-0.10	0.18	-0.11	0.15
Technology	0.30	-0.65	-0.06	-0.18	-0.20	0.01	-0.08	-0.19	-0.15	-0.23	-0.11	-0.16	0.03	0.19	-0.20	0.21
Chemicals	-0.12	0.01	-0.06	-0.02	0.07	-0.14	0.12	0.02	0.11	0.05	0.10	0.16	-0.06	-0.01	0.16	-0.16
Retailers	0.09	-0.13	-0.06	-0.13	-0.07	-0.10	0.03	-0.09	-0.03	-0.18	-0.05	-0.01	-0.10	0.03	-0.03	0.06
Media	-0.08	-0.06	-0.18	0.03	0.03	-0.01	0.03	-0.10	0.11	0.06	-0.07	-0.09	-0.04	-0.14	0.00	-0.07
Real Estate	-0.01	-0.01	-0.10	-0.44	-0.44	-0.01	-0.15	-0.45	-0.17	-0.27	-0.18	-0.18	-0.01	0.09	-0.05	-0.10
Telecommunications	-0.38	0.20	0.01	0.02	0.15	-0.20	0.11	0.05	0.07	0.28	0.37	0.41	-0.11	-0.31	0.22	-0.28
Utilities	-0.48	0.11	-0.11	-0.25	-0.15	-0.16	0.00	-0.25	0.04	0.01	0.16	0.20	-0.19	-0.19	0.18	-0.38
Personal Care, Drug and Grocery Stores	-0.64	-0.07	0.10	-0.08	0.18	-0.41	0.06	-0.04	0.38	0.29	0.49	0.54	-0.37	-0.41	0.45	-0.56
Food, Beverage and Tobacco	-0.67	0.04	0.09	-0.06	0.17	-0.36	0.06	-0.04	0.38	0.34	0.45	0.49	-0.26	-0.37	0.42	-0.56
Health Care	-0.74	-0.15	0.03	-0.13	0.11	-0.37	-0.03	-0.08	0.39	0.33	0.47	0.50	-0.26	-0.35	0.33	-0.49

Source: Bloomberg, Goldman Sachs Global Investment Research

Economics

Exhibit 52: Real GDP forecasts

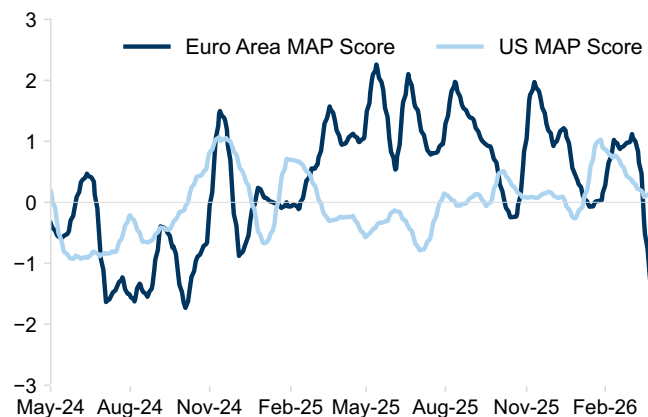
Percent Change yoy	Real GDP Growth				
	2025	2026		2027	
	GS	GS	Cons*	GS	Cons*
USA	2.1	2.1	2.1	2.1	2.0
Japan	1.1	0.5	0.6	1.0	0.8
Euro area	1.5	0.7	0.8	0.9	1.3
Germany	0.3	0.7	0.6	1.0	1.2
France	0.9	0.6	0.7	0.6	0.9
Italy	0.7	0.5	0.5	0.5	0.7
Spain	2.8	2.1	2.2	1.5	1.8
UK	1.4	1.2	0.8	1.3	1.1
China	5.0	4.7	4.6	4.7	4.4
Developed Markets	1.8	1.5	1.9	1.7	1.5
Emerging Markets	4.2	3.7	4.0	4.0	3.9
World	2.8	2.4	2.8	2.7	2.6

* Bloomberg country and GS aggregate consensus

Source: Consensus Economics, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 54: Macro-data Assessment Platform (MAP)

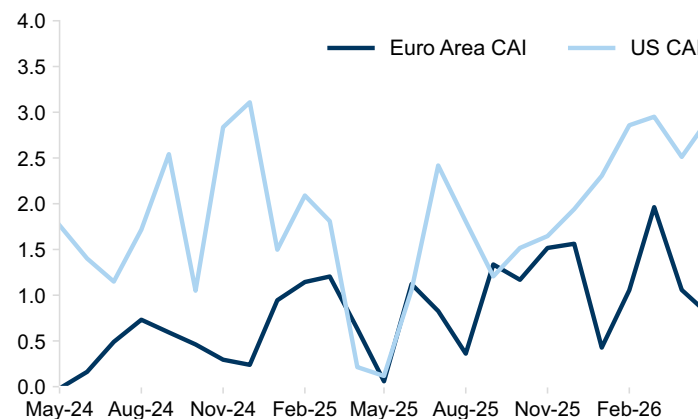
Economic surprise. GS Proprietary Index



Source: Goldman Sachs Global Investment Research

Exhibit 53: Current Activity Index (CAI)

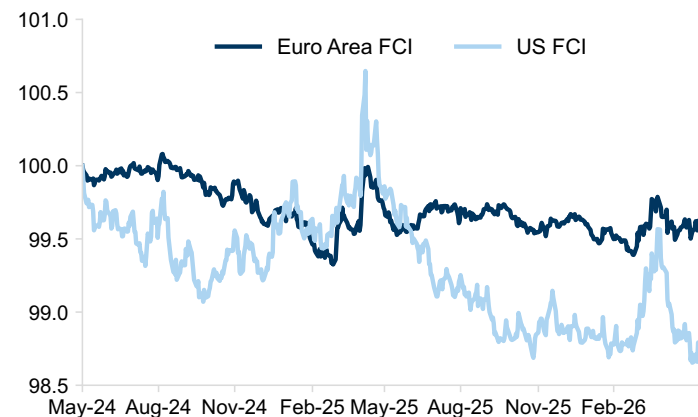
GS Proprietary Index



Source: Goldman Sachs Global Investment Research

Exhibit 55: Goldman Sachs Financial Conditions Index (GSFCI)

GS Proprietary Index



Source: Goldman Sachs Global Investment Research

Appendix

Exhibit 56: We roll forward and upgrade our long-term price targets for STOXX 600
STOXX 600 price forecast

	New	Old
2026	650	625
2027	670	650
2028	690	670
2029	710	690
2030	730	710
2031	750	730
2032	775	760
2033	800	790
2034	825	825
2035	855	855

Source: Goldman Sachs Global Investment Research

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